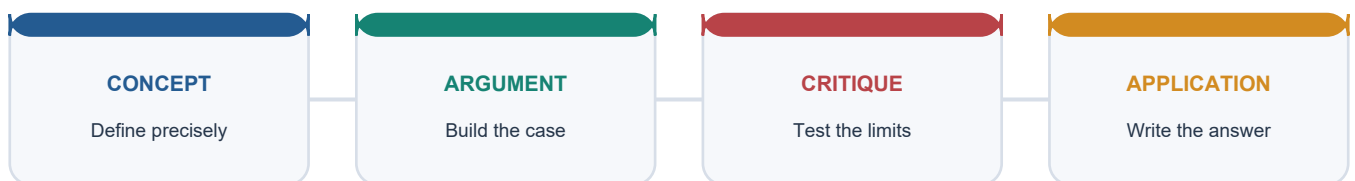


SOLVED PRACTICE WORKBOOK

IMF, World Bank, ADB, AIIB, NDB and Global Governance - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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IMF, World Bank, ADB, AIIB, NDB and Global Governance - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which comparison is economically correct?

A. IMF stabilisation finance addresses an external gap, while IBRD finances sovereign development B. IMF primarily finances infrastructure projects C. IBRD creates international reserve assets D. FSB directly lends to governments

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct: the institutions solve different maturity and mandate problems. Option text: IMF stabilisation finance addresses an external gap, while IBRD finances sovereign development
- **B - Incorrect:** IMF's core role is surveillance and balance-of-payments support. Option text: IMF primarily finances infrastructure projects
- **C - Incorrect:** SDRs are created by the IMF, not IBRD. Option text: IBRD creates international reserve assets
- **D - Incorrect:** FSB coordinates financial-stability policy and does not operate a sovereign loan window. Option text: FSB directly lends to governments

Examiner trap 1: Begin with mandate and client rather than the word international. Focus: which comparison is economically correct.

MCQ 2

The Bretton Woods conference is directly associated with the creation of:

A. ADB and AIIB B. The IMF and IBRD architecture C. WTO and FSB D. NDB and MIGA

Answer: B.

Option-wise explanation:

- **A - Incorrect:** ADB dates from 1966 and AIIB from the 2010s. Option text: ADB and AIIB
- **B - Correct:** Correct: the 1944 conference designed the Fund and reconstruction bank. Option text: The IMF and IBRD architecture
- **C - Incorrect:** WTO began in 1995 and FSB succeeded the Financial Stability Forum in 2009. Option text: WTO and FSB
- **D - Incorrect:** NDB is BRICS-founded; MIGA was created later within the World Bank Group. Option text: NDB and MIGA

Examiner trap 2: Do not project the entire modern architecture back to 1944. Focus: the bretton woods conference is directly associated with the creation of:.

MCQ 3

An IMF quota directly influences which combination?

A. Only the annual membership fee B. Only the exchange-rate regime C. Contribution, voting power, normal access and general SDR allocation share D. Only eligibility for IBRD loans

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Quota is also a governance and access variable. Option text: Only the annual membership fee

- **B - Incorrect:** Members choose regimes within Article IV obligations; quota does not set the regime. Option text: Only the exchange-rate regime
- **C - Correct:** Correct: these are the four standard quota functions. Option text: Contribution, voting power, normal access and general SDR allocation share
- **D - Incorrect:** IBRD creditworthiness and membership rules are separate. Option text: Only eligibility for IBRD loans

Examiner trap 3: Remember four quota functions, not one. Focus: an imf quota directly influences which combination.

MCQ 4

At the 9 September 2026 cutoff, the Sixteenth General Review quota increase:

- A. Had permanently doubled every member's voting share B. Redistributed relative shares toward India C. Had been rejected by the Board of Governors D. Was approved but had not met the consent threshold for effectiveness

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The proposed increase is 50 percent and equiproportional. Option text: Had permanently doubled every member's voting share
- **B - Incorrect:** Equiproportional increase preserves relative quota shares. Option text: Redistributed relative shares toward India
- **C - Incorrect:** It was approved in December 2023; effectiveness remained pending. Option text: Had been rejected by the Board of Governors
- **D - Correct:** Correct: the 50 percent equiproportional increase still required 85 percent consent. Option text: Was approved but had not met the consent threshold for effectiveness

Examiner trap 4: Separate approval, consent and effectiveness. Focus: at the 9 september 2026 cutoff, the sixteenth general review quota increase:.

MCQ 5

India's IMF quota and voting share should be reported as:

- A. SDR 13,114.4 million quota and 2.63 percent voting share B. USD 13,114.4 million and 13.11 percent C. 2.63 SDR million and 13.11 percent D. An equal one-country-one-vote share

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct from the dated IMF member table at the cutoff. Option text: SDR 13,114.4 million quota and 2.63 percent voting share
- **B - Incorrect:** Quota is denominated in SDRs and the vote share is much smaller. Option text: USD 13,114.4 million and 13.11 percent
- **C - Incorrect:** The units and magnitudes are reversed. Option text: 2.63 SDR million and 13.11 percent
- **D - Incorrect:** IMF governance is weighted, with basic and quota votes. Option text: An equal one-country-one-vote share

Examiner trap 5: Never convert quota units or equate quota with votes. Focus: india's imf quota and voting share should be reported as:.

MCQ 6

Article IV consultation is best described as:

A. An automatic IMF loan B. Regular IMF surveillance of a member's macroeconomic and exchange policies C. An IBRD project appraisal D. A G20 debt restructuring

Answer: B.

Option-wise explanation:

- **A - Incorrect:** A consultation can occur without any lending arrangement. Option text: An automatic IMF loan
- **B - Correct:** Correct: it is a surveillance process, not automatically financing. Option text: Regular IMF surveillance of a member's macroeconomic and exchange policies
- **C - Incorrect:** IBRD project appraisal is a development-bank process. Option text: An IBRD project appraisal
- **D - Incorrect:** Debt treatment follows separate creditor frameworks. Option text: A G20 debt restructuring

Examiner trap 6: Surveillance is not a bailout. Focus: article iv consultation is best described as:.

MCQ 7

Which document is an IMF multilateral-surveillance output?

A. AIIB Articles of Agreement B. Paris Club Agreed Minutes C. World Economic Outlook D. World Bank Project Appraisal Document only

Answer: C.

Option-wise explanation:

- **A - Incorrect:** That is AIIB's constituent treaty. Option text: AIIB Articles of Agreement
- **B - Incorrect:** Those record a specific creditor treatment. Option text: Paris Club Agreed Minutes
- **C - Correct:** Correct: WEO analyses the world economy and cross-border risks. Option text: World Economic Outlook
- **D - Incorrect:** That is tied to a development operation rather than global surveillance. Option text: World Bank Project Appraisal Document only

Examiner trap 7: Match document to institution and scale. Focus: which document is an imf multilateral-surveillance output.

MCQ 8

FSAP is:

A. An IMF emergency-disbursement facility B. A Basel capital ratio C. A private political-risk guarantee D. A financial-sector assessment framework involving IMF and World Bank roles

Answer: D.

Option-wise explanation:

- **A - Incorrect:** RFI and RCF are rapid financing facilities. Option text: An IMF emergency-disbursement facility
- **B - Incorrect:** FSAP can assess standards but is not itself a ratio. Option text: A Basel capital ratio
- **C - Incorrect:** MIGA provides political-risk guarantees. Option text: A private political-risk guarantee
- **D - Correct:** Correct: it diagnoses stability and development issues. Option text: A financial-sector assessment framework involving IMF and World Bank roles

Examiner trap 8: Assessment programme is not financing facility. Focus: fsap is:.

MCQ 9

A Stand-By Arrangement usually differs from the RFI because an SBA:

A. Uses a programme with phased access and reviews B. Is an unconditional reserve asset C. Is available only to IDA members D. Finances only climate infrastructure

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct: SBA disbursement is normally linked to programme monitoring. Option text: Uses a programme with phased access and reviews
- **B - Incorrect:** An SDR or reserve tranche is closer to a reserve asset. Option text: Is an unconditional reserve asset
- **C - Incorrect:** SBA is a GRA instrument for IMF members. Option text: Is available only to IDA members
- **D - Incorrect:** That is not the SBA's defined purpose. Option text: Finances only climate infrastructure

Examiner trap 9: Use disbursement structure and conditionality. Focus: a stand-by arrangement usually differs from the rfi because an sba:.

MCQ 10

The Extended Fund Facility is most suitable for:

A. A political-risk insurance claim B. A medium-term external problem rooted in structural weakness C. A one-day central-bank liquidity swap D. An investor-state arbitration

Answer: B.

Option-wise explanation:

- **A - Incorrect:** That is within MIGA's mandate. Option text: A political-risk insurance claim
- **B - Correct:** Correct: EFF supports longer structural adjustment. Option text: A medium-term external problem rooted in structural weakness
- **C - Incorrect:** A swap line is a distinct safety-net layer. Option text: A one-day central-bank liquidity swap
- **D - Incorrect:** ICSID administers dispute settlement. Option text: An investor-state arbitration

Examiner trap 10: Extended does not mean ordinary project finance. Focus: the extended fund facility is most suitable for:.

MCQ 11

Which pair is correctly matched?

A. RFI - only low-income countries; RCF - all members B. RFI - phased structural programme; RCF - SDR allocation
C. RFI - GRA rapid support; RCF - concessional PRGT rapid support D. RFI - World Bank window; RCF - ADB window

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The eligibility is reversed. Option text: RFI - only low-income countries; RCF - all members
- **B - Incorrect:** Neither description is correct. Option text: RFI - phased structural programme; RCF - SDR allocation
- **C - Correct:** Correct: both are rapid, but the funding pool and eligibility differ. Option text: RFI - GRA rapid support; RCF - concessional PRGT rapid support
- **D - Incorrect:** Both are IMF instruments. Option text: RFI - World Bank window; RCF - ADB window

Examiner trap 11: Distinguish resource account and eligibility. Focus: which pair is correctly matched.

MCQ 12

The Resilience and Sustainability Facility:

A. Is a universal climate grant B. Replaces all MDB climate lending C. Creates the SDR basket D. Supports longer-term reforms for macro-critical climate and pandemic risks

Answer: D.

Option-wise explanation:

- **A - Incorrect:** It is financing with eligibility and programme requirements. Option text: Is a universal climate grant
- **B - Incorrect:** It complements, not replaces, project and development finance. Option text: Replaces all MDB climate lending
- **C - Incorrect:** SDR valuation is a separate IMF function. Option text: Creates the SDR basket
- **D - Correct:** Correct: RSF operates through the Resilience and Sustainability Trust. Option text: Supports longer-term reforms for macro-critical climate and pandemic risks

Examiner trap 12: RSF is not a general project fund. Focus: the resilience and sustainability facility:.

MCQ 13

A prior action in an IMF programme is:

A. A policy measure taken before approval or review where critical B. A prediction in the WEO C. A callable-capital commitment D. A G20 voluntary communique

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct: timing distinguishes it from later monitored conditions. Option text: A policy measure taken before approval or review where critical
- **B - Incorrect:** Forecasts are not programme conditions. Option text: A prediction in the WEO
- **C - Incorrect:** Callable capital supports MDB balance sheets. Option text: A callable-capital commitment
- **D - Incorrect:** G20 commitments are not IMF prior actions. Option text: A G20 voluntary communique

Examiner trap 13: Name the condition type and timing. Focus: a prior action in an imf programme is:.

MCQ 14

Board approval of an IMF arrangement means:

A. All funds are immediately transferred B. A financing envelope is approved, but later amounts may depend on reviews C. All conditionality ends D. The member's quota becomes zero

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Phased arrangements make later access conditional. Option text: All funds are immediately transferred
- **B - Correct:** Correct: approval is not full disbursement. Option text: A financing envelope is approved, but later amounts may depend on reviews
- **C - Incorrect:** Programme monitoring normally follows approval. Option text: All conditionality ends
- **D - Incorrect:** Quota remains a separate subscription. Option text: The member's quota becomes zero

Examiner trap 14: Approval, availability, purchase and outstanding credit differ. Focus: board approval of an imf arrangement means:.

MCQ 15

A reserve tranche position is:

A. A new conditional IMF loan B. A World Bank guarantee C. A liquid reserve claim arising from the member's IMF quota relationship D. The full amount of quota

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Drawing it uses the member's reserve claim. Option text: A new conditional IMF loan
- **B - Incorrect:** MIGA and IBRD issue guarantees under separate mandates. Option text: A World Bank guarantee
- **C - Correct:** Correct: it is treated as a reserve asset. Option text: A liquid reserve claim arising from the member's IMF quota relationship
- **D - Incorrect:** RTP can differ from total quota. Option text: The full amount of quota

Examiner trap 15: Reserve claim is not programme borrowing. Focus: a reserve tranche position is:.

MCQ 16

Gold tranche and reserve tranche position are:

A. Two consecutive SBA disbursements B. An SDR allocation and an IDA grant C. Two NDB capital classes D. Historical and modern labels for the same basic reserve concept

Answer: D.

Option-wise explanation:

- **A - Incorrect:** They are not SBA tranches. Option text: Two consecutive SBA disbursements
- **B - Incorrect:** Those are unrelated instruments. Option text: An SDR allocation and an IDA grant
- **C - Incorrect:** NDB shareholding is separate. Option text: Two NDB capital classes
- **D - Correct:** Correct: they are not two separate facilities. Option text: Historical and modern labels for the same basic reserve concept

Examiner trap 16: Do not double-count the historical synonym. Focus: gold tranche and reserve tranche position are:.

MCQ 17

Which statement about SDRs is correct?

A. They are reserve assets valued from a five-currency basket B. They circulate as household currency C. They are automatically an IMF loan D. Their value is permanently fixed in dollars

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct: SDR is also an IMF unit of account. Option text: They are reserve assets valued from a five-currency basket
- **B - Incorrect:** SDRs are not retail money. Option text: They circulate as household currency
- **C - Incorrect:** Allocation is separate from lending. Option text: They are automatically an IMF loan
- **D - Incorrect:** The dollar value changes with market exchange rates. Option text: Their value is permanently fixed in dollars

Examiner trap 17: Reserve asset, not global banknote. Focus: which statement about sdrs is correct.

MCQ 18

A general SDR allocation is distributed primarily according to:

A. Population alone B. IMF quota shares C. Current-account deficit alone D. One equal amount per member

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Population is not the allocation key. Option text: Population alone
- **B - Correct:** Correct: quota determines each participant's general allocation share. Option text: IMF quota shares
- **C - Incorrect:** Need is not the pro-rata rule. Option text: Current-account deficit alone
- **D - Incorrect:** Allocation is not equal per country. Option text: One equal amount per member

Examiner trap 18: Quota-proportionate allocation can be unequal by need. Focus: a general sdr allocation is distributed primarily according to:.

MCQ 19

Which is in the current SDR valuation basket?

A. Indian rupee B. Swiss franc C. Chinese renminbi D. Canadian dollar

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The rupee is not in the current basket. Option text: Indian rupee
- **B - Incorrect:** It is not one of the five current basket currencies. Option text: Swiss franc
- **C - Correct:** Correct: the basket also contains dollar, euro, yen and sterling. Option text: Chinese renminbi
- **D - Incorrect:** It is not in the current SDR basket. Option text: Canadian dollar

Examiner trap 19: Do not confuse reserve currencies with basket membership. Focus: which is in the current sdr valuation basket.

MCQ 20

The term World Bank commonly refers to:

A. IFC and MIGA only B. IMF and IBRD C. ADB and AIIB D. IBRD and IDA

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Those are private-finance and guarantee institutions within the Group. Option text: IFC and MIGA only
- **B - Incorrect:** IMF is a separate Bretton Woods institution. Option text: IMF and IBRD
- **C - Incorrect:** Those are separate Asian MDBs. Option text: ADB and AIIB
- **D - Correct:** Correct: the Group adds IFC, MIGA and ICSID. Option text: IBRD and IDA

Examiner trap 20: Two institutions versus five. Focus: the term world bank commonly refers to:.

MCQ 21

IBRD mainly lends to:

A. Middle-income and creditworthy lower-income sovereign borrowers B. Only the poorest countries on grant terms C. Households without intermediaries D. Only private firms without sovereign involvement

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct: it uses market-based funding and sovereign lending. Option text: Middle-income and creditworthy lower-income sovereign borrowers

- **B - Incorrect:** IDA is the concessional window. Option text: Only the poorest countries on grant terms
- **C - Incorrect:** IBRD does not provide retail household credit. Option text: Households without intermediaries
- **D - Incorrect:** IFC focuses on private-sector finance. Option text: Only private firms without sovereign involvement

Examiner trap 21: Creditworthiness separates IBRD from IDA. Focus: ibrd mainly lends to:.

MCQ 22

Which statement about IDA is correct?

A. Every IBRD member automatically receives IDA grants B. Eligibility differs from membership and includes 78 borrowers in FY2027 C. IDA lends only at market rates D. India's IMF quota determines IDA allocation

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Membership does not create borrower eligibility or grant entitlement. Option text: Every IBRD member automatically receives IDA grants
- **B - Correct:** Correct: not every IDA member is eligible to borrow. Option text: Eligibility differs from membership and includes 78 borrowers in FY2027
- **C - Incorrect:** Its core mandate is concessional finance. Option text: IDA lends only at market rates
- **D - Incorrect:** IDA allocation uses separate rules. Option text: India's IMF quota determines IDA allocation

Examiner trap 22: Members, donors, recipients and blend borrowers differ. Focus: which statement about ida is correct.

MCQ 23

IFC differs from IBRD because IFC primarily:

A. Conducts Article IV surveillance B. Issues SDRs C. Finances and mobilises private-sector investment D. Restructures official bilateral debt

Answer: C.

Option-wise explanation:

- **A - Incorrect:** That is an IMF function. Option text: Conducts Article IV surveillance
- **B - Incorrect:** The IMF allocates SDRs. Option text: Issues SDRs
- **C - Correct:** Correct: IFC uses loans, equity and advisory services. Option text: Finances and mobilises private-sector investment
- **D - Incorrect:** Paris Club coordinates such treatments. Option text: Restructures official bilateral debt

Examiner trap 23: Client type is the first discriminator. Focus: ifc differs from ibrd because ifc primarily:.

MCQ 24

MIGA's distinctive instrument is:

A. A retail deposit guarantee B. An IMF performance criterion C. A central-bank swap D. Political-risk insurance and credit enhancement

Answer: D.

Option-wise explanation:

- **A - Incorrect:** MIGA does not insure household bank deposits. Option text: A retail deposit guarantee
- **B - Incorrect:** That belongs to programme conditionality. Option text: An IMF performance criterion
- **C - Incorrect:** Swaps are monetary-authority agreements. Option text: A central-bank swap
- **D - Correct:** Correct: it mobilises investment by covering defined non-commercial risks. Option text: Political-risk insurance and credit enhancement

Examiner trap 24: Guarantee is risk transfer, not a grant. Focus: miga's distinctive instrument is:.

MCQ 25

Which statement about ICSID and India is correct at the cutoff?

A. India is neither a signatory nor a Contracting State to the ICSID Convention B. India joined automatically through IBRD membership C. ICSID is a sovereign lender to India D. Every investor dispute automatically falls under ICSID

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct according to the August 2026 official lists. Option text: India is neither a signatory nor a Contracting State to the ICSID Convention
- **B - Incorrect:** ICSID Convention membership is separate. Option text: India joined automatically through IBRD membership
- **C - Incorrect:** It administers investment dispute settlement. Option text: ICSID is a sovereign lender to India
- **D - Incorrect:** Jurisdiction depends on consent and legal instruments. Option text: Every investor dispute automatically falls under ICSID

Examiner trap 25: World Bank Group affiliation does not create ICSID membership. Focus: which statement about icsid and india is correct at the cutoff.

MCQ 26

The correct World Bank project sequence is:

A. Disbursement, identification, appraisal, treaty ratification B. Identification, preparation, appraisal, approval, implementation and evaluation C. Approval, automatic success, repayment D. Arbitration, quota review, SDR allocation

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The order and legal stages are wrong. Option text: Disbursement, identification, appraisal, treaty ratification
- **B - Correct:** Correct: this is the lifecycle logic. Option text: Identification, preparation, appraisal, approval, implementation and evaluation
- **C - Incorrect:** Approval does not ensure completion or outcome. Option text: Approval, automatic success, repayment
- **D - Incorrect:** Those are unrelated processes. Option text: Arbitration, quota review, SDR allocation

Examiner trap 26: Project status must follow the lifecycle. Focus: the correct world bank project sequence is:.

MCQ 27

Program-for-Results financing links disbursement mainly to:

A. A member's IMF quota B. Only imported equipment invoices C. Verified programme results D. An ICSID award

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Quota is unrelated to PforR disbursement. Option text: A member's IMF quota
- **B - Incorrect:** That would not define PforR. Option text: Only imported equipment invoices
- **C - Correct:** Correct: it uses results and country systems. Option text: Verified programme results
- **D - Incorrect:** Investment arbitration is separate. Option text: An ICSID award

Examiner trap 27: Do not call every World Bank operation a physical project loan. Focus: program-for-results financing links disbursement mainly to:.

MCQ 28

At 31 December 2025, India's ADB position was:

A. 5.343 percent shares and 6.317 percent votes B. 18.72 percent of shares C. 7.5268 percent of shares D. 6.317 percent of shares and 5.343 percent of total votes

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The two percentages are reversed. Option text: 5.343 percent shares and 6.317 percent votes
- **B - Incorrect:** That is India's current NDB subscribed-capital share. Option text: 18.72 percent of shares
- **C - Incorrect:** That is India's AIIB voting percentage, not ADB share. Option text: 7.5268 percent of shares
- **D - Correct:** Correct from ADB's dated India page. Option text: 6.317 percent of shares and 5.343 percent of total votes

Examiner trap 28: Do not swap capital and voting percentages. Focus: at 31 december 2025, india's adb position was:.

MCQ 29

The Nature Solutions Finance Hub for Asia and the Pacific was launched by:

A. Asian Development Bank B. Asian Infrastructure Investment Bank C. New Development Bank D. International Bank for Reconstruction and Development

Answer: A.

Option-wise explanation:

- **A - Correct:** Correct: ADB launched it at COP28 in December 2023. Option text: Asian Development Bank
- **B - Incorrect:** AIIB did not launch this named hub. Option text: Asian Infrastructure Investment Bank
- **C - Incorrect:** NDB is not the launcher. Option text: New Development Bank
- **D - Incorrect:** IBRD did not launch the named ADB hub. Option text: International Bank for Reconstruction and Development

Examiner trap 29: This is a named-institution PYQ fact. Focus: the nature solutions finance hub for asia and the pacific was launched by:.

MCQ 30

At the cutoff, India's AIIB capital and voting shares were:

A. 7.5268 percent subscription and 8.5702 percent votes B. 8.5702 percent subscription and 7.5268 percent voting power C. 18.72 percent subscription and 2.63 percent votes D. 6.317 percent subscription and 5.343 percent votes

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The two measures are reversed. Option text: 7.5268 percent subscription and 8.5702 percent votes
- **B - Correct:** Correct from AIIB's live voting table. Option text: 8.5702 percent subscription and 7.5268 percent voting power
- **C - Incorrect:** Those figures belong to NDB and IMF respectively. Option text: 18.72 percent subscription and 2.63 percent votes
- **D - Incorrect:** Those are ADB figures. Option text: 6.317 percent subscription and 5.343 percent votes

Examiner trap 30: Match institution, denominator and date. Focus: at the cutoff, india's aiib capital and voting shares were:.

MCQ 31

Which NDB status is correct at 9 September 2026?

A. Both were full members B. Neither had been admitted C. Uzbekistan was a full member; Colombia remained prospective D. India was only a prospective member

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The official page still listed Colombia as prospective. Option text: Both were full members
- **B - Incorrect:** Uzbekistan became a member on 5 June 2026. Option text: Neither had been admitted
- **C - Correct:** Correct: accession deposit separated the two statuses. Option text: Uzbekistan was a full member; Colombia remained prospective
- **D - Incorrect:** India is a founding member. Option text: India was only a prospective member

Examiner trap 31: Admission and full membership are different stages. Focus: which ndb status is correct at 9 september 2026.

MCQ 32

Which institutional comparison is correct?

A. FSB directly enforces global banking law B. BIS is a global retail bank C. BCBS lends to distressed sovereigns D. BCBS sets bank standards; FSB coordinates system-wide stability; BIS hosts cooperation

Answer: D.

Option-wise explanation:

- **A - Incorrect:** FSB recommendations rely on national implementation. Option text: FSB directly enforces global banking law
- **B - Incorrect:** BIS serves central banks and monetary authorities. Option text: BIS is a global retail bank
- **C - Incorrect:** BCBS is a standard setter, not a lender. Option text: BCBS lends to distressed sovereigns
- **D - Correct:** Correct: their mandates overlap but are not identical. Option text: BCBS sets bank standards; FSB coordinates system-wide stability; BIS hosts cooperation

Examiner trap 32: Host, standard setter and coordinator are separate. Focus: which institutional comparison is correct.

PYQS AND ANSWER PRACTICE

OFFICIAL-KEY AND WORDING CONTROL

The two 2025 questions below reproduce the audited local wording. Their Set-A answers are recorded because the local official 2025 key is available. Four older objective routes remain demand summaries because a matched official final answer key is not held locally; no option letter is inferred.

VERIFIED PRELIMS PYQ - 2025 Q35

Question: Which one of the following launched the 'Nature Solutions Finance Hub for Asia and the Pacific'?

A. The Asian Development Bank (ADB) B. The Asian Infrastructure Investment Bank (AIIB) C. The New Development Bank (NDB) D. The International Bank for Reconstruction and Development (IBRD)

Official Set-A answer: A.

Solution: ADB launched the Hub at COP28 in December 2023 to catalyse finance for nature-based solutions. The other options are development institutions but did not launch this named platform.

VERIFIED PRELIMS PYQ - 2025 Q67

Question: With reference to the International Bank for Reconstruction and Development (IBRD), consider the following statements:

1. It provides loans and guarantees to middle-income countries.
2. It works single-handedly to help developing countries to reduce poverty.
3. It was established to help Europe rebuild after World War II.

Which of the statements given above are correct?

A. 1 and 2 only B. 2 and 3 only C. 1 and 3 only D. 1, 2 and 3

Official Set-A answer: C.

Solution: Statement 1 is correct because IBRD lends and guarantees for creditworthy middle-income and eligible lower-income sovereign borrowers. Statement 2 is incorrect because IBRD operates with governments and the wider World Bank Group rather than single-handedly. Statement 3 is correct because post-war reconstruction was its original mandate.

ANSWER-KEY-NEUTRAL HISTORICAL ROUTES

Year	Q	Audited demand	Key discipline
2019	71	AIIB membership and shareholding	No answer letter inferred
2020	17	Gold tranche and reserve tranche in the IMF system	No answer letter inferred
2022	1	IMF Rapid Financing Instrument and concessional rapid facility	No answer letter inferred
2022	4	G20 Common Framework for sovereign debt restructuring	No answer letter inferred

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish IMF surveillance, IMF programme lending and World Bank development finance. Answer in 150 words.

Model answer:

IMF surveillance diagnoses macroeconomic and external risks through Article IV consultations and multilateral reports. It advises but does not transfer finance.

IMF programme lending addresses an actual or potential balance-of-payments need. An SBA or EFF specifies conditions, reviews and phased disbursement. Conditionality aims to restore external viability and safeguard pooled resources, but sequencing shapes legitimacy.

World Bank development finance serves a different horizon. IBRD and IDA fund sovereign development programmes and projects; IFC finances private enterprise and MIGA transfers defined political risks. Appraisal, procurement, safeguards and development results replace the IMF's reserve-gap focus.

Thus surveillance is diagnosis, Fund lending is macro-stabilisation, and World Bank finance is long-term development support. Boundaries can overlap in policy advice, but client, maturity, instrument and monitoring remain distinct.

Native-body word count: 138 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain the difference between an SDR allocation, reserve tranche drawing and IMF credit. Answer in 150 words.

Model answer:

An SDR allocation creates a quota-proportionate reserve asset and matching allocation liability. It is neither budget revenue nor a country-specific IMF loan. SDRs may be exchanged for freely usable currency.

A reserve tranche position is a member's liquid claim arising when IMF holdings of its currency are below quota. Drawing it uses the member's reserve claim and normally carries no programme conditionality. Gold tranche is its historical label, not another facility.

IMF credit, by contrast, supplies additional balance-of-payments finance through an instrument such as an SBA, EFF or RFI. Programme arrangements can phase access through conditions and reviews; rapid instruments have lighter ex-post structure but still require eligibility and need.

Therefore all three can support external liquidity, yet their balance-sheet origin, conditionality and repayment consequences differ.

Native-body word count: 141 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Assess whether IMF quota reform can improve both legitimacy and crisis capacity. Answer in 250 words.

Model answer:

IMF quotas perform four linked functions: they finance the institution, shape voting power, influence normal access and determine shares in general SDR allocations. Reform can therefore affect both crisis capacity and legitimacy.

The Sixteenth General Review illustrates the distinction between size and distribution. Members approved a 50 percent equiproportional increase in December 2023, designed to strengthen permanent quota resources and permit a rollback of borrowed resources. Yet an equiproportional increase preserves relative shares. At 29 April 2026, official reporting recorded consents representing 76.66 percent of quotas, below the 85 percent condition for effectiveness, with the deadline extended to 15 November 2026.

A larger quota base can make resources more predictable and reduce dependence on creditor coalitions. Realigning shares toward dynamic emerging economies can also improve voice, ownership and compliance. Basic votes protect smaller members.

However, formula changes create distributive conflict because one member's relative gain implies another's dilution. Economic weight, openness, vulnerability and financial contribution point in different directions. Voting reform alone cannot correct weak programme design or opaque leadership selection.

Reform should combine an effective resource increase with periodic share realignment, protection of basic votes, transparent leadership and accountable conditionality. Capacity without representation is less legitimate; representation without adequate resources is less effective.

Native-body word count: 220 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Compare IBRD, IDA, IFC, MIGA and ICSID as parts of the World Bank Group. Answer in 250 words.

Model answer:

The World Bank Group contains five legally distinct institutions. IBRD raises funds mainly in capital markets and lends to creditworthy middle-income and eligible lower-income sovereigns. IDA provides concessional credits and grants to eligible poorer countries; its FY2027 eligibility list contains 78 borrowers, so membership and eligibility must not be confused.

IFC works with private firms and financial institutions through loans, equity, mobilisation and advisory services, ordinarily without a sovereign guarantee. MIGA does not provide ordinary loans; it offers political-risk insurance and credit enhancement to facilitate cross-border investment. ICSID administers consent-based conciliation and arbitration of investment disputes rather than finance. India is not an ICSID Convention signatory or Contracting State.

The institutions can operate together under a Country Partnership Framework: sovereign reform or infrastructure may use IBRD or IDA, private participation may involve IFC, and defined political risks may be covered by MIGA. Yet each retains separate membership, governance, balance sheet and legal authority.

Evaluation must therefore move beyond the label World Bank. The relevant questions are client, instrument, financing terms, risk bearer, safeguards and remedy. Group coordination can improve development additionality, but it does not make all five institutions lenders or place every investment dispute within ICSID jurisdiction.

Native-body word count: 213 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate the contribution of ADB, AIIB and NDB to India's development-finance strategy. Answer in 250 words.

Model answer:

India uses ADB, AIIB and NDB as complementary development-finance platforms. ADB, founded in 1966, combines regional expertise with sovereign and private operations; at 31 December 2025 India held 6.317 percent of shares and 5.343 percent of total votes. AIIB began operations in 2016 with an infrastructure mandate. Its live table at the cutoff lists India as the second-largest shareholder with 8.5702 percent of subscription and 7.5268 percent of voting power.

NDB adds a BRICS-founded platform for infrastructure and sustainable development. After membership expansion, India retains USD 10 billion subscribed capital, equal to 18.72 percent of current subscriptions. Its interest in local-currency financing can reduce exchange-rate mismatch where domestic funding is feasible.

Together these banks diversify funding, increase co-financing choices, deepen project preparation and give India voice in both established and newer institutions. They can also mobilise private capital through guarantees and partnerships.

Benefits are not automatic. Approval is not disbursement; cheap finance can still create debt stress, weak procurement, ecological harm or currency risk. Overlapping institutions can fragment safeguards and reporting.

India should select institutions project by project, using lifecycle value, additionality, domestic capacity, transparent procurement, safeguards and debt sustainability. Strategic pluralism is superior to either dependence on one bank or symbolic institution-building.

Native-body word count: 223 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: How can global economic governance become more representative without weakening financial discipline?
Answer in 250 words.

Model answer:

Global economic governance faces a dual test: institutions need enough capital and enforceable standards to manage shared risks, yet their voice must reflect contemporary economic weight and the vulnerabilities of developing countries.

Representation can improve through periodic IMF quota realignment, protection of basic votes, broader World Bank shareholding reform, transparent leadership selection and meaningful participation in standard-setting. Newer MDBs such as AIIB and NDB demonstrate alternative shareholding arrangements, while the African Union's G20 membership broadens political voice.

Discipline should not be abandoned. IMF access requires credible adjustment and debt sustainability; MDB finance needs appraisal, procurement, safeguards and results; BCBS and FSB standards require consistent national implementation. But conditions should be macro-critical, parsimonious, sequenced and protected by social safeguards. Peer review and independent accountability mechanisms can replace opaque creditor control with transparent scrutiny.

Capacity also matters. The IMF needs dependable quota resources, and MDBs can use capital optimisation, guarantees and co-financing to expand lending without sacrificing ratings. Debt restructuring must coordinate Paris Club, newer bilateral and private creditors through comparable treatment.

The objective is reformed multilateralism: stronger voice, adequate resources, national ownership and measurable outcomes. Representation without accountability can politicise finance, while discipline without legitimacy weakens compliance and cooperation.

Native-body word count: 213 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.